Chapter 5 Accounting Principles

Accounting is governed by a set of common principles to ensure that accounting data is reliable, accurate, and can be compared. There is tremendous flexibility in how transactions can be handled, how accounts can be structured, and how reports can be presented, etc. These principles help ensure that the flexibility doesn't compromise the integrity and value of the accounting data.

Generally Accepted Accounting Principles (GAAP)

Accounting transactions (at least in the U.S.) are expected to be handled according to Generally Accepted Accounting Principles (GAAP). Some transactions are easy to define such as cash sales, and expense payments, etc. Others, such as which depreciation method makes sense, how funds are disbursed to partners or owners, etc., have a lot of choices to handling them. As a general rule of thumb, transactions should be handled the same way everyone else does them. In the event of a government audit, if the accountant can show a transaction was handled the same way as other firms handled it (and that handling for the other firms was accepted/approved by the IRS), then the transaction will most likely be allowed.

The primary purpose of an accounting system is to allow decisions to be made either by the board, the owners, the stockholders or the investors, etc. The following principles ensure that the accounting system can be used by these decision makers.

Business Entity

The Business Entity concept means that the business is a separate entity from its owners (be it a sole proprietorship, partnership or corporation). Business transactions and personal transactions must be keep separate. For example, if a business is run from a rented home and uses one room for work purposes with the remaining four rooms used for living space, then only 20 percent of the rental can be considered a business expense. If the business paid the entire rent, then the other 80 percent would be considered a draw from equity for the owner.

Note: Because of the potential abuse of mixing personal expenses (i.e., those that are not tax-deductible) with business expenses (i.e., those that are tax-deductible), the IRS has strict rules for home offices and can more frequently audit these types of businesses.

Monetary Unit

The Monetary Unit concept means that the only transactions that can expressed in money terms are reported in the accounting system. Other events can happen that have a major impact on the business but cannot be expressed in monetary terms. These are not reported in financial statements unless financial impact can be shown.